

****Q1.****

I'm a new loan officer — how do I use this system to process my first application?

****A1.****

Start by entering the borrower's basic profile — income, existing EMLs, loan amount requested, CIBIL score, employment type, and tenure requested. The system will evaluate the full profile, generate a risk classification (Low / Moderate / High), and give you a recommendation with point-by-point reasoning. Each reason references the specific policy or precedent behind it. Read through the justification carefully before making your final decision. The system is your policy reference and case advisor — your job is to review it, verify documents, and approve or override with accountability.

****Q2.****

What types of loan applications can I evaluate using this system?

****A2.****

The system supports personal loans, home loans, business loans, and vehicle loans. Each loan type has different risk thresholds, documentation requirements, and RBI guidelines. For example, home loans typically allow higher DTI tolerance due to collateral security, whereas personal loans are unsecured and require stricter income and credit score requirements. The system automatically applies the correct policy set based on the loan type you specify.

****Q3.****

What is credit risk and why does it matter in my day-to-day lending decisions?

****A3.****

Credit risk is the probability that a borrower will fail to repay their loan as agreed. Every approval you make carries some level of credit risk — the goal is not to eliminate risk entirely but to ensure it is within acceptable limits and properly priced. Poor credit risk decisions lead to NPAs, regulatory scrutiny, and financial loss for the bank. Good credit risk assessment protects both the institution and the borrower from entering a loan they cannot sustain.

****Q4.****

What is a CIBIL score and how should I use it when evaluating a borrower?

****A4.****

CIBIL score is a 3-digit number (300–900) that reflects a borrower's credit history — including repayment behavior, credit utilization, and past defaults. Use it as a starting signal, not the final word. A score above 750 is low risk, 650–750 is moderate risk, and below 650 is high risk.

A strong CIBIL score with weak income is still risky. A moderate CIBIL score with zero defaults, stable income, and low DTI can still be approvable. Always evaluate the full profile before concluding.

****Q5.****

My borrower has a CIBIL score of 680 and is applying for a personal loan of ₹10 lakhs. What should I do?

****A5.****

A score of 680 is moderate risk — not an automatic rejection. Check the full profile: if DTI is below 40%, employment is stable for 3+ years, there are no past defaults, and income supports

the EMI comfortably, a conditional approval or standard approval is reasonable. If DTI is above

45% or there are recent defaults on top of the 680 score, the risk compounds significantly and

you should consider reducing the loan amount, asking for collateral, or rejecting. The system will retrieve similar past cases to show you how comparable profiles were handled.

****Q6.****

What is DTI ratio and how do I calculate it for my borrower?

****A6.****

DTI (Debt-to-Income) ratio is the percentage of a borrower's gross monthly income that goes toward total debt repayments — existing EMIs plus the proposed new EMI. Formula: (Total Monthly

EMIs ÷ Gross Monthly Income) × 100. For example, if a borrower earns ₹60,000 and pays ₹20,000

in existing EMIs with a proposed new EMI of ₹8,000, the post-loan DTI is (28,000 ÷ 60,000) × 100

= 46.7%. Generally: below 35% is low risk, 35–45% is moderate, above 45% is high risk.

This is

the single most important affordability metric — always compute it before making a decision.

****Q7.****

What DTI ratio is acceptable for a salaried home loan applicant?

****A7.****

For salaried home loan applicants, a post-loan DTI of up to 50% is typically acceptable because the loan is secured by property. However, the preferred safe range is below 40%. If DTI crosses 50%, you should request a co-applicant with independent income, ask for additional collateral, or recommend a lower loan amount. The borrower's net take-home pay after EMI deductions must remain above a minimum living threshold — the system will flag if this is violated per RBI fair lending norms.

****Q8.****

How is the risk score in the system's output calculated, and can I trust it?

****A8.****

The risk score is derived from multiple factors evaluated together — CIBIL score, DTI, employment stability, default history, loan amount relative to income, and bank balance trends. No single factor determines it alone. You can trust it as a well-reasoned starting point, but you should always read the justification section to understand which factors drove the score. If you have information the system doesn't — such as something you observed in person — your judgment takes precedence. The score is a decision aid, not a verdict.

****Q9.****

The system flagged my borrower as High Risk. Does that mean I must reject the loan?

****A9.****

No, High Risk is a classification that demands heightened scrutiny — not an automatic rejection. Review which specific factors triggered the High Risk flag. If the concern is high DTI, you can reduce the loan amount to bring EMI within safe limits. If it is a low CIBIL score, you can ask for collateral or a co-signer. If it is past defaults, check how recent and how severe they were. In some cases, a conditional approval with safeguards is the right outcome. If multiple High Risk factors stack up with no mitigants, then rejection is appropriate.

****Q10.****

What credit score qualifies a borrower for low-risk classification?

****A10.****

A CIBIL score above 750 is generally classified as low risk and indicates strong repayment history, responsible credit utilization, and no recent defaults. These borrowers typically qualify

for faster processing, better interest rates, and higher loan amounts. Scores between 700–750 are

borderline low-to-moderate. The system retrieves the exact threshold applicable to the loan type

you are processing, since internal policy may set slightly different cutoffs for personal vs. home vs. business loans.

****Q11.****

When do I need to ask the borrower for collateral?

****A11.****

Collateral is required in two primary situations: (1) the loan amount exceeds the internal policy

threshold (e.g., above ₹25 lakhs for unsecured personal loans), or (2) the borrower's risk classification is High — due to low CIBIL, high DTI, or past defaults. For home and vehicle loans,

the asset being purchased itself serves as collateral by default. For business loans, property, equipment, or receivables may be pledged. The system will explicitly state when collateral is required in its recommendation, citing the policy clause behind the requirement.

****Q12.****

When do I need to ask for a co-signer or guarantor?

****A12.****

A co-signer is needed when the primary borrower's profile is too weak to qualify independently —

typically when CIBIL score is below 680, DTI exceeds 45%, or employment tenure is less than

1 year. Once a co-signer is added, their income, DTI, and credit score must also be evaluated.

The combined profile is then re-assessed. A guarantor may be required separately when the loan

amount is large relative to the primary borrower's net worth. The system flags co-signer requirements with the specific weakness it is intended to mitigate.

****Q13.****

What documents should I collect from a salaried applicant?

****A13.****

For salaried applicants, collect: last 3 months' salary slips, last 6 months' bank statements, Form 16 or ITR for the last 2 years, employment letter or appointment letter confirming current role and tenure, PAN card, Aadhaar, and address proof. For home loans, additionally collect property documents and the sale agreement. The system retrieves the exact checklist based on the loan type — cross-check your collected documents against the system's list before submission to avoid processing delays.

****Q14.****

What documents should I collect from a self-employed applicant?

****A14.****

Self-employed applicants require more documentation due to income variability. Collect: ITR for the last 2–3 years with income computation, audited P&L and balance sheet, GST registration certificate and last 12 months' GST returns, last 12 months' business and personal bank statements, business registration proof (shop act, incorporation certificate), PAN, Aadhaar, and address proof. For loans above ₹25 lakhs, a CA-certified income statement is typically mandatory. Missing any of these is a common cause of application delays — verify completeness upfront.

****Q15.****

My borrower has a history of past loan defaults. Should I reject the application outright?

****A15.****

Not necessarily outright, but defaults are a serious negative signal. A single default in the last 12 months typically results in High Risk classification and warrants strong scrutiny. Two or more defaults in the past 24 months generally lead to rejection under most internal policies. However, older defaults (3+ years ago) followed by a consistently clean repayment record can be treated more leniently — especially with compensating factors like strong income, low DTI, or collateral. The system retrieves precedent cases with similar default histories so you can see how comparable situations were handled before.

****Q16.****

My borrower has a low CIBIL score but everything else looks strong. Can I still approve?

****A16.****

Yes, with compensating factors. A CIBIL score of 620–650 can be offset by: very low DTI (below 30%), high and stable income well above the minimum threshold, significant bank balance,

long employment tenure, valuable collateral, or a creditworthy co-applicant. Document each compensating factor explicitly in your approval reasoning. However, if the low score is due to active defaults or a written-off loan account, approval is very difficult to justify regardless of other strengths — the system will flag this distinction clearly.

****Q17.****

How do I calculate the maximum loan amount a borrower is eligible for?

****A17.****

Two constraints apply simultaneously — take the lower result of both. First, the DTI constraint:

the new EMI must keep total DTI below 40–50% of gross monthly income. Second, the income

multiplier constraint: most policies cap personal loans at 10–12x net monthly income for salaried

borrowers. For example, a borrower earning ₹60,000 with ₹15,000 in existing EMIs and a 60-month

tenure — calculate what EMI keeps DTI below 45%, then back-calculate the loan amount.

The system

does this automatically and shows you the maximum eligible amount with the binding constraint cited.

****Q18.****

What is LTV ratio and how does it affect how much I can sanction for a home loan?

****A18.****

LTV (Loan-to-Value) is the percentage of the property's market value being financed. RBI mandates:

up to 90% LTV for home loans below ₹30 lakhs, up to 80% for ₹30–75 lakhs, and up to 75% for

above ₹75 lakhs. This means a borrower buying a ₹50 lakh property can receive a maximum loan

of ₹40 lakhs (80% LTV) — regardless of their income. The remaining amount must come from the

borrower's own funds. Sanctioning above the LTV cap is a direct RBI violation. The system will flag this automatically.

****Q19.****

My borrower's profile is mixed — some strong points, some weak ones. How do I decide?

****A19.****

Mixed profiles are the most common cases you'll face. The system will give you a structured breakdown — listing each positive factor and each risk factor separately, with the net assessment.

Focus on which risks are material and which can be mitigated. A high DTI can be addressed by

reducing loan amount. A weak CIBIL can be addressed with collateral or co-signer. Unstable income

can be addressed with larger down payment or shorter tenure. If multiple material risks stack up

with no realistic mitigants, rejection or significant loan modification is the right call. Let the system's cited precedents guide the borderline judgment.

****Q20.****

How does loan tenure affect the borrower's eligibility and my risk assessment?

****A20.****

Longer tenure lowers the monthly EMI, which improves DTI and makes the loan more affordable

on paper. However, it increases total interest outgo and extends repayment risk — more time for circumstances to change adversely. For personal loans, tenures beyond 60 months are generally

treated with more caution. For home loans, tenures up to 30 years are standard but must be checked against the borrower's retirement age — the loan should ideally close before the borrower

turns 60–65. The system recommends an optimal tenure range based on the full borrower profile.

****Q21.****

Should I charge a higher interest rate to a riskier borrower, or just reject them?

****A21.****

Risk-based pricing is the preferred approach for moderate-risk borrowers — rather than rejecting

a creditworthy-but-imperfect borrower, you price the loan to reflect the risk. Low-risk borrowers may get 9–10% p.a., while moderate-risk borrowers are offered 13–15% p.a. This is both fair and commercially sensible. The system provides the risk tier that you then map to your bank's interest rate grid. For High Risk borrowers, however, pricing alone is insufficient — the risk must be mitigated structurally (collateral, co-signer, lower amount) before approval is considered.

****Q22.****

How do I explain my approval or rejection decision to the borrower or to an auditor?

****A22.****

The system generates a justification section with every recommendation — point-by-point reasoning

with citations to specific internal policy clauses and RBI guidelines. Use this directly as the basis for your decision documentation. For rejections, you are legally and regulatorily required

to provide clear, non-discriminatory reasons. The system's cited output gives you exactly that.

For approvals with conditions, the conditions are stated with the specific risk they mitigate — making your reasoning defensible in any audit or dispute.

****Q23.****

Which RBI guidelines does the system reference? Can I rely on them being current?

****A23.****

The system is loaded with key RBI master circulars relevant to retail lending — covering fair lending practices, KYC norms, LTV caps, income verification standards, NPA classification, priority sector guidelines, and unsecured lending norms. The policy knowledge base is updated

periodically to reflect new RBI circulars. Each recommendation cites the specific circular and clause number so you can independently verify if needed. If you are aware of a very recent regulatory update that may not yet be in the system, flag it to your compliance team before proceeding on that case.

****Q24.****

What is an NPA and how does it relate to my lending decisions today?

****A24.****

NPA (Non-Performing Asset) is a loan account overdue for more than 90 days. Every NPA starts

with a lending decision — yours or a colleague's. Strong underwriting today directly reduces NPA formation tomorrow. A borrower with a previous NPA on their credit record is automatically flagged as High Risk by the system, because past NPA behavior is the single strongest predictor of future default. Your bank's NPA ratio is also a key regulatory metric — high NPAs invite RBI scrutiny, corrective action, and reputational damage.

****Q25.****

How do I evaluate a self-employed borrower differently from a salaried one?

****A25.****

Self-employed borrowers require more verification effort because their income fluctuates and is self-declared. Don't rely on a single month's bank credit — look at 2–3 years of ITR trends to assess income stability. Check that the business has been operating for at least 3 years. Verify GST filing consistency. Watch for sudden income spikes in the most recent ITR that don't match prior years — this is a common manipulation signal. Apply a conservative income estimate (use average of last 2 years rather than the most recent year) when computing DTI.

****Q26.****

The borrower claims high income but their bank account balance is always very low. Should I be concerned?

****A26.****

Yes, this is a significant red flag. If a borrower declares ₹1 lakh monthly income but their bank account consistently shows a balance of ₹5,000–₹10,000, something doesn't add up. Possible explanations: undisclosed cash withdrawals, hidden liabilities elsewhere, lifestyle overspend, or inflated income declaration. Before proceeding, cross-reference salary credits directly in the bank statement, verify ITR, and consider requesting a longer bank statement history (12 months instead of 6). Approving based on unverified income that doesn't match financial behavior is a fraud risk.

****Q27.****

The borrower is asking for ₹10 lakhs but based on their profile I can only safely sanction ₹6 lakhs. What should I do?

****A27.****

Offer a partial approval at ₹6 lakhs and explain the basis clearly — the specific income constraint, DTI threshold, or policy cap that limits the sanction. This is almost always better than outright rejection: the borrower gets access to credit, you retain the customer relationship, and the bank earns revenue while managing risk appropriately. The system will generate the recommended maximum eligible amount with the constraining factor cited. You can present this directly to the borrower as a transparent, policy-based limit — not a personal judgment.

****Q28.****

How long should a borrower have been employed before I can treat their income as stable?

****A28.****

For salaried borrowers, a minimum of 1–2 years with the current employer is the general threshold for income stability. Less than 6 months at the current job is considered unstable — even if the salary is high — because the income is unproven and can be discontinued. For self-employed borrowers, a minimum of 3 years of business operation is typically required. Borrowers who changed jobs recently but have continuous employment in the same industry with no gap are treated more leniently than those who switched sectors or had employment gaps.

****Q29.****

I'm a new loan officer and not familiar with all the credit policies. How do I avoid making a wrong decision?

****A29.****

Use the system's recommendation and justification as your policy guide for every case. Each recommendation cites the exact internal policy clause and RBI guideline it is based on — so you are always making a policy-compliant decision, not guessing. Read the justification section carefully for every case you process, even when the decision seems obvious. Over time, this builds your policy intuition faster than any manual training would. For cases flagged as exceptions or

escalations, always consult your senior credit officer rather than deciding alone.

****Q30.****

How does the system help me process loans faster without cutting corners?

****A30.****

The system eliminates the 2–3 hours typically spent manually cross-referencing credit policies,

RBI norms, and precedent cases. It retrieves all relevant policy and precedent instantly and structures the assessment for you. Your job shifts from research to review — verifying the borrower's documents, confirming the profile inputs are accurate, and exercising final judgment.

You are not cutting corners because the policy coverage is the same or broader than manual review;

you are simply doing the research step faster with a reliable tool.

****Q31.****

What happens when a borrower's application doesn't fit any standard category?

****A31.****

When a case falls outside standard parameters — unusual income structure, atypical collateral,

non-standard employment type — the system applies the closest applicable policy and flags the

deviation explicitly. It notes that no direct precedent exists and recommends escalation to a senior credit officer or credit committee. You should not force a non-standard case through a standard approval flow. Document the unusual aspects clearly, attach the system's output, and

escalate with your own assessment. Exception approvals require a higher level of authorization.

****Q32.****

What is a conditional approval and when should I use it?

****A32.****

Conditional approval means the loan is sanctioned subject to the borrower meeting specific additional requirements before disbursement — such as providing collateral, adding a co-applicant,

submitting additional income proof, or accepting a lower loan amount. Use it for moderate-risk

profiles where a specific risk can be concretely mitigated. Do not use conditional approval as

a way to defer a difficult rejection — if the core credit profile is fundamentally weak, conditions will not fix it. Each condition in the system's output is linked to the specific risk factor it addresses.

****Q33.****

Something about this borrower's documents feels off. What should I do before proceeding?

****A33.****

Stop and escalate before approving. Common fraud signals include: income significantly higher than typical for the declared occupation, salary slips that look inconsistent in font, format, or rounding, bank statements with no salary credit despite claiming salaried employment, ITR figures that jumped sharply in the most recent year, or address proof that doesn't match other documents. Flag the specific inconsistency to your fraud or verification team. Do not approve a case with unresolved document concerns — the liability for a fraudulent approval falls on the approving officer.

****Q34.****

How should I use the borrower's bank statement in my assessment?

****A34.****

Bank statements are the most honest reflection of financial behavior — they show actual cash flows, not declared ones. Look for: regular salary credits matching declared income, existing EMI debits (to verify total obligation), average monthly balance (should be reasonable relative to income), bounced cheques or payment returns (indicates cash flow stress), and large unexplained cash withdrawals. For self-employed borrowers, 12 months of both personal and business account statements are standard. A bank statement that contradicts the declared income profile should stop the process until explained.

****Q35.****

The system mentioned a similar past case in its recommendation — where did that come from and should I trust it?

****A35.****

The system retrieves historical loan cases from the bank's internal database of past approvals, rejections, and their outcomes — whether those loans were repaid, defaulted, or restructured.

When it references a past case, it is showing you a real precedent with a similar borrower profile and what happened. You should treat it as supporting evidence, not as a rule. One past case does not define policy. But if the system shows three similar cases that all defaulted, that is a strong empirical signal worth weighing seriously alongside the policy-based assessment.

****Q36.****

Can I use the system to train myself on credit policy?

****A36.****

Yes, and this is one of the most effective ways to build credit judgment quickly. After the system generates a recommendation, read the full justification — every point cites a policy clause or precedent. Over 20–30 cases, you will internalize the key thresholds, exception logic, and risk patterns faster than reading policy manuals alone. You can also test your own judgment first — form your own view before reading the system's recommendation — and then compare. Gaps between your assessment and the system's output reveal exactly where your policy knowledge needs sharpening.

****Q37.****

What is the difference between a secured and unsecured loan from a risk assessment perspective?

****A37.****

A secured loan is backed by collateral — property, vehicle, or financial assets — giving the bank a recovery mechanism if the borrower defaults. This reduces lender risk significantly and

allows more tolerance for moderate-risk borrower profiles. An unsecured personal loan has no

such backstop — recovery in default requires legal action, which is slow and uncertain.

Because

of this, unsecured loans have stricter CIBIL, income, and DTI requirements. When in doubt on a

borderline personal loan, ask yourself: if this borrower defaults, what can the bank recover? If the answer is nothing, the profile needs to be very strong.

****Q38.****

What is the difference between delinquency and default, and how do I treat each in my assessment?

****A38.****

Delinquency is any delayed payment — even one missed EMI makes a borrower delinquent for that period. Default is prolonged non-payment, typically 90+ days, at which point the loan becomes an NPA. A one-time delinquency resolved quickly has a minor negative impact on CIBIL and is not a major concern on its own. Repeated delinquencies, even if eventually cleared, indicate cash flow stress and unreliable repayment behavior. Active defaults or written-off accounts are the most serious — they should trigger automatic High Risk classification and, in most cases, rejection.

****Q39.****

The borrower is in a sector I know is struggling right now. Does that affect my assessment?

****A39.****

Yes, and you should factor it in explicitly. Certain industries carry inherently higher income volatility — real estate brokers, small contractors, traders in cyclical sectors, or businesses dependent on a single large client. Internal policy often requires additional income haircuts for these categories or longer financial history for verification. If you know a sector is facing specific stress, apply conservative income estimates and request the last 2–3 years of financials rather than just the most recent. The system retrieves sector-specific policy guidelines, but your on-the-ground awareness adds valuable context.

****Q40.****

How do I know my loan approval is RBI-compliant?

****A40.****

The system's justification section cites the specific RBI circular and clause that applies to each element of the decision. If the recommendation is approve, the cited norms confirm the approval is within regulatory limits. If a parameter — like LTV or DTI cap — would breach an RBI norm, the system flags it as a policy violation before you approve. As a loan officer, you should never approve a loan where the system has flagged an RBI compliance breach without

escalating to your compliance officer first. Your personal accountability as an approving officer is real — the system's citations protect you.

****Q41.****

The borrower wants a very long tenure to reduce their EMI. Should I allow it?

****A41.****

Longer tenure does reduce EMI and improve the affordability picture — but it is not always in the borrower's interest or the bank's. For personal loans, tenures beyond 60 months substantially increase total interest outgo. Check the borrower's age against the proposed end date — the loan should close before the borrower's anticipated retirement (typically 60–65 years). For home loans up to 30 years, ensure the borrower understands the total cost. If the only way a loan is affordable is with a very long tenure, consider whether the loan amount itself should be reduced instead.

****Q42.****

What should I tell the borrower when I reject their application?

****A42.****

Be clear, specific, and non-discriminatory. Use the system's justification output as your basis: cite the specific factors — "your post-loan DTI of 52% exceeds our policy limit of 50%" or "your CIBIL score of 610 is below the minimum threshold of 650 for this loan type." Avoid vague statements like "your profile is not suitable." Borrowers have the right to understand why they were rejected, and banks are expected under RBI fair lending guidelines to provide substantive reasons. A clear rejection with specific reasons also helps the borrower understand what to improve before reapplying.

****Q43.****

What does the system's output look like and how do I read it?

****A43.****

The output has four sections: (1) Risk Classification — Low, Moderate, or High with a numerical

score, (2) Recommendation — Approve, Conditional Approve, or Reject with specific conditions if applicable, (3) Justification — a point-by-point explanation of each risk factor with the policy or precedent citation behind it, and (4) Supporting References — the actual policy clauses and case summaries retrieved. Read sections 3 and 4 before acting on section 2. The recommendation is only as reliable as the inputs you provided — garbage in, garbage out applies here.

****Q44.****

The system said approve but I want to reject. Can I do that?

****A44.****

Yes, and your override is valid. The system's recommendation is an informed input, not a binding decision. If you have information the system doesn't — a document inconsistency you noticed in person, a verbal disclosure from the borrower, or an industry concern you are aware of — your judgment takes precedence. Document your reason for overriding clearly. Your override is recorded in the audit trail alongside the system's original recommendation, which actually protects you by showing your decision was deliberate and reasoned, not arbitrary.

****Q45.****

What is the minimum borrower profile that typically qualifies for a ₹10 lakh personal loan?

****A45.****

As a general benchmark: CIBIL score of at least 680, post-loan DTI below 45%, gross monthly income of at least ₹45,000–50,000, employment stability of 2+ years, zero defaults in the last 24 months, and an average bank balance that reasonably reflects the declared income. These are not absolute thresholds — a borrower slightly below one parameter can qualify if other factors are strong. A borrower below multiple parameters simultaneously should be considered for a lower loan amount rather than the full ₹10 lakhs.

****Q46.****

My borrower has never taken a loan before and has no CIBIL score. How do I assess them?

****A46.****

A blank CIBIL (score showing as "-1", "NH", or "NA") means no credit history — not bad credit.

These are new-to-credit borrowers and require a different approach. Apply the bank's NTC (New-to-Credit) lending policy: typically a smaller initial loan amount, mandatory salary account

with the lending bank, stricter income verification, and sometimes a co-signer or guarantor for larger amounts. Look at alternative signals — bank transaction consistency, utility bill payment behavior, employer reputation, and tenure. NTC borrowers are an opportunity to build

a long-term customer relationship if the income and employment profile is solid.

****Q47.****

My borrower earns well but has a lot of existing loans. How do I evaluate their real repayment capacity?

****A47.****

High income with high obligations is not safe — it is the DTI that determines affordability, not income alone. Calculate the full post-loan DTI including all existing EMIs plus the proposed

new EMI. If a borrower earning ₹2 lakhs has ₹1.2 lakhs in existing EMIs, their pre-loan DTI is already 60% — adding any new loan pushes them into distress territory. In these cases, you

can either decline, offer a much smaller amount to keep total DTI manageable, or suggest the

borrower prepay or close an existing loan before applying. Never approve based on gross income

without computing total obligation.

****Q48.****

How much loan can I typically sanction relative to the borrower's income?

****A48.****

Most internal policies apply an income multiplier cap — typically 10–12x net monthly income for

salaried personal loan borrowers. A borrower earning ₹60,000 net monthly would be eligible for

up to ₹6–7.2 lakhs under this cap. For self-employed borrowers, the multiplier is typically 8–10x due to income variability. This cap applies on top of the DTI constraint — both apply simultaneously and the lower limit governs. The system computes both constraints and shows you

the binding one with the policy citation.

****Q49.****

This borrower previously repaid a loan with us perfectly. Does that help their case?

****A49.****

Yes, significantly. A prior successful repayment with your own bank is one of the strongest positive signals you can have — it is real behavioral evidence, not just a credit bureau score. It demonstrates reliability under your specific loan product and terms. Factor this into your assessment as a strong compensating factor, especially if the borrower's current CIBIL or DTI is borderline. Many banks have preferential processing policies for repeat customers with clean internal records — the system will flag this eligibility based on the internal case history.

****Q50.****

The system gave an approval recommendation but I personally feel the borrower is risky. Can I reject anyway?

****A50.****

Yes, the system's recommendation is an input to your decision, not a replacement for it. You are the authorised loan officer and the final decision is yours. If you choose to reject despite an approval recommendation, document your specific concern — you may have observed something in the personal interaction or noticed a document inconsistency that the profile alone doesn't capture. Your override is recorded in the audit trail alongside the system's recommendation, which protects you by showing your decision was conscious and reasoned, not arbitrary. Never approve a case you have genuine concerns about just because the system said approve.

****Q51.****

My borrower is a government employee with a modest salary. Should I treat them differently?

****A51.****

Government employees are generally considered lower risk than private sector employees at the same income level — their employment is highly stable, income is predictable, and termination risk is near zero. Many internal policies allow slightly higher DTI tolerance or lower documentation requirements for confirmed government employees. Verify employment through the official appointment letter and salary account. Pensioners drawing a government pension are also treated as stable income borrowers. Factor the employment type explicitly into your risk narrative.

****Q52.****

The borrower's salary is credited in cash, not directly to a bank account. How do I verify income?

****A52.****

Cash salary is a verification challenge and a risk signal. Without direct bank credit, you cannot confirm income from the bank statement alone. In such cases, request: employer declaration on company letterhead, Form 16, ITR for at least 2 years, and any other income evidence such as PF contributions or ESIC deductions. Be conservative — apply a significant income haircut if salary cannot be independently confirmed through bank credits. For larger loan amounts, cash salary applicants may not meet the income verification standard required by internal policy.

****Q53.****

The borrower recently got a significant salary hike. Should I use the old salary or new salary for assessment?

****A53.****

Use the new salary only if it is confirmed and reflected in at least 1–2 recent bank statements. A salary hike visible on paper but not yet credited is not verified income. If the hike is recent and only one month's bank statement shows it, apply the average of the last 3–6 months to be conservative. New hikes in the probation period at a new job are particularly unreliable — the income may not be sustained. Stability of the new salary level matters as much as the level itself.

****Q54.****

The borrower is applying jointly with their spouse. How does this affect the assessment?

****A54.****

A joint application with a co-applicant's income can significantly improve eligibility. Combine both incomes for the DTI calculation — total household EMI burden divided by total household income. Both CIBIL scores must be checked independently. If one applicant has a weak CIBIL, the joint application still carries that risk — the stronger applicant's score does not cancel

out the weaker one. Verify that the co-applicant's income is independently sustainable and not already committed to other large obligations. Joint applications increase eligible loan amount but both parties are equally liable for repayment.

****Q55.****

My borrower has multiple existing loans from different banks. Is that a red flag?

****A55.****

Multiple loans are not inherently a red flag — what matters is the aggregate DTI. A borrower with three loans but a total EMI burden of 30% of income is less risky than a borrower with one large loan at 50% DTI. However, multiple active credit lines can indicate a borrower who is overleveraged or serially credit-seeking. Check the CIBIL report for recent credit inquiries — a high number of loan applications in a short period (more than 3–4 in 6 months) suggests financial stress or credit shopping, both of which are risk flags.

****Q56.****

The borrower says they are about to receive a large bonus. Can I count that toward income?

****A56.****

No, until it is received and reflected in the bank account, a promised bonus is not verifiable income. Bonus income is also variable and non-contractual in most cases — it should not be treated as reliable recurring income for EMI affordability calculation. If the borrower has a history of regular annual bonuses confirmed by past ITR, you can apply a conservative fraction (typically 50% of average past bonus) as supplementary income — but the base salary must independently support the EMI obligation. Never approve a loan whose repayment depends on anticipated bonus income.

****Q57.****

The borrower wants to prepay the loan early. Is that a concern for the bank?

****A57.****

Early prepayment means the bank earns less interest than projected — this is prepayment risk for the lender. Most retail loan products include a prepayment penalty clause (typically 1–3% of outstanding principal) to compensate for this. From a credit risk standpoint, a borrower who prepays is actually a very low credit risk — they are performing better than required. Prepayment should be disclosed clearly to the borrower at the time of sanction, along with applicable

charges. It is not a reason to delay or deny a loan.

****Q58.****

What is the difference between a loan restructuring and a fresh loan application?

****A58.****

Loan restructuring modifies the terms of an existing loan — extending tenure, reducing interest rate, or giving a repayment moratorium — for a borrower facing genuine temporary difficulty. It is done to prevent the loan from slipping into NPA. A fresh loan application is a new credit evaluation for a borrower seeking new funds. Restructured loans are flagged on the CIBIL report and are a negative signal — a borrower with a currently restructured loan should be treated as moderate-to-high risk for any new credit, since it indicates current repayment stress.

****Q59.****

My borrower's credit report shows a settled account. How should I treat that?

****A59.****

A "settled" account on the CIBIL report means the borrower and lender agreed to close the loan for less than the full outstanding amount — essentially a partial write-off. This is a serious negative mark, more severe than a simple default or delinquency. It indicates that the borrower was unable or unwilling to repay the full contractual obligation. Treat any active settlement in the last 3 years as High Risk. Older settlements (5+ years) with a clean record since can be reconsidered with strong compensating factors, but must be flagged and documented explicitly in your approval reasoning.

****Q60.****

How do I handle a loan application where the borrower's declared purpose seems inconsistent with the loan type?

****A60.****

Purpose consistency is an important verification point. A borrower applying for a home loan who declares the purpose as "home renovation" but the property is not in their name is a red flag. A personal loan declared for "business use" should ideally be a business loan — different products carry different regulatory treatment. If the declared purpose seems inconsistent

with the product chosen or the borrower's profile, seek clarification and documentation before proceeding. Misrepresentation of loan purpose is both a credit risk and a compliance risk.

****Q61.****

The borrower's business is less than 2 years old. Can I still approve a business loan?

****A61.****

Most internal policies require a minimum of 2–3 years of business operation for business loan eligibility — because younger businesses have limited financial track record and higher failure risk. If the business is under 2 years old, the application typically does not meet standard criteria. However, check whether the promoter has a strong personal credit profile and sufficient personal assets to serve as collateral — this can support a smaller, secured loan. New businesses may also qualify under specific startup or MSME lending schemes with different eligibility norms.

****Q62.****

What is the importance of the borrower's average bank balance in the assessment?

****A62.****

Average bank balance is a proxy for financial discipline and liquidity buffer. A borrower who maintains a balance equivalent to 2–3 months of EMI demonstrates financial prudence and has a buffer for temporary income disruptions. A borrower whose account balance routinely drops near zero despite adequate income suggests poor financial management or hidden obligations. For larger loan amounts, some internal policies require a minimum average balance as a condition for approval. Cross-check the balance trend against the declared income — they should be broadly consistent.

****Q63.****

The borrower is a freelancer with irregular monthly income. How do I assess repayment capacity?

****A63.****

Freelancers present the most income assessment complexity — income can vary significantly month to month. Do not use a single month's income as the basis. Average the last 12 months of bank credits to arrive at a representative monthly income figure. Apply an additional conservatism haircut of 15–20% to account for income variability. Verify income through ITR for the last 2 years — consistent or growing income over time is a positive signal. EMI should be comfortably supportable even in the borrower's lower-income months, not just their best months.

****Q64.****

Should I be more cautious with very large loan requests from first-time borrowers?

****A64.****

Yes, significantly more cautious. A first-time borrower — especially one with no prior loan repayment history — requesting a large loan is a high-uncertainty profile. There is no behavioral evidence of repayment discipline. Apply stricter income verification, require collateral for amounts above the policy threshold, and consider starting with a smaller loan amount. Many internal policies explicitly cap the first-time loan amount below the standard income multiplier. A smaller first loan that is repaid well builds the foundation for a larger loan with confidence at the next application.

****Q65.****

The borrower has a very high income but has never used any credit product before. Is this unusual?

****A65.****

It is uncommon but not automatically suspicious. High-income individuals in certain communities or professions genuinely avoid credit on principle. However, it means the CIBIL score will be blank ("NH/NA"), and you have no behavioral evidence of repayment discipline. Treat as a new-to-credit profile. The high income is a strong positive compensating factor. Verify income rigorously — ITR, bank statements, and salary credits. For large loan amounts, collateral or a shorter initial tenure with review is a prudent approach. These borrowers typically become excellent long-term customers if onboarded carefully.

****Q66.****

The borrower recently divorced and is now a single income household. Does that change the assessment?

****A66.****

Yes, this changes the financial profile significantly. If a prior joint income was used in a previous assessment, that baseline no longer applies. Evaluate purely on the single income now

available. Check whether there are any alimony or child support obligations that add to the monthly debt burden — these must be included in DTI. Emotional stress periods also correlate

with financial decision-making risk, though this is not a formal underwriting criterion. Focus on verifiable, current income and obligations. Be especially careful not to approve a loan amount the single income genuinely cannot support.

****Q67.****

What is the significance of the borrower's age in a loan assessment?

****A67.****

Age affects two things: tenure feasibility and income runway. For home loans, the loan end date

should fall before the borrower's expected retirement age (60–65 years) — so a 55-year-old cannot practically take a 20-year home loan. For personal loans, younger borrowers have longer

income runways but potentially less financial stability. Older borrowers near retirement may face income reduction post-retirement, affecting repayment capacity for long-tenure loans.

The system checks age against the proposed tenure and flags violations of the maximum age

at loan maturity policy.

****Q68.****

The borrower is a senior citizen living on pension income. Can they qualify for a loan?

****A68.****

Senior citizens on pension income can qualify, but with specific constraints. Pension income is stable and predictable — often more so than employment income — which is a positive.

However,

the loan tenure must end within the pensioner's life expectancy range, and most policies cap maximum age at loan maturity at 70–75 years. The loan amount should be modest relative to

pension income to keep DTI low. Check whether the pension is from a government or private source — government pension is more secure. Co-applicant with active income is often recommended

for larger amounts.

****Q69.****

What should I do if two borrowers with identical profiles get different recommendations from the system?

****A69.****

If the input profiles are truly identical, the recommendations should be consistent — that is one of the core value propositions of this system. If you see a discrepancy, check the inputs carefully: loan type, tenure, or a minor field difference may be driving the different outcome. If the inconsistency persists on genuinely identical inputs, flag it to the system administrator — it may indicate a data or configuration issue. Decision consistency is a regulatory expectation under fair lending guidelines, and any systematic inconsistency must be investigated and resolved.

****Q70.****

How do I assess a borrower who is applying for a top-up loan on an existing loan?

****A70.****

A top-up loan application is evaluated on the updated financial profile — not the original approval profile. Recalculate DTI including the existing loan EMI and the proposed additional EMI together. Check the repayment track record on the existing loan — any missed or late payments are a strong negative signal and may disqualify the top-up. If the existing loan has been repaid cleanly for 12+ months, that is a strong positive precedent. The combined loan-to-income ratio across both loans must remain within policy limits. Do not rely on the original approval as validation for the current application.

****Q71.****

The borrower is applying for a loan to consolidate their existing debts. Is this a good sign or a bad sign?

****A71.****

Debt consolidation is a mixed signal. On the positive side, the borrower is being proactive about managing obligations and reducing monthly outgo through a single lower-EMI loan. On the negative side, it may indicate that the borrower is currently stretched thin and struggling to manage multiple payments. Evaluate the current total obligation vs. the consolidated obligation — the consolidation should genuinely reduce total monthly burden, not just restructure it. Verify that the borrower will actually close the consolidated loans rather than continuing to hold them alongside the new one, which would worsen their position.

****Q72.****

What is the risk of approving a loan just before the financial year end to meet disbursement targets?

****A72.****

Target-driven approvals are one of the most common sources of bad loans. If a loan would not pass your standard credit assessment on its own merit, meeting a disbursement target is never a valid reason to approve it. Weak approvals create NPAs that far outweigh any short-term disbursement benefit. The system's recommendations are not influenced by targets — they are policy-based. Use the system's output as your professional backstop: if it flags High Risk, that risk is real regardless of the calendar. Document your decision basis clearly, and do not override risk flags to hit numbers.

****Q73.****

The borrower's business partner is willing to be a co-applicant. Does that help?

****A73.****

A business partner as co-applicant helps only if the partner has an independently strong financial profile — separate income, good CIBIL score, and low personal DTI. If both partners are drawing income from the same business, the combined risk is not reduced — both incomes are exposed to the same business risk. In that case, the co-applicant adds legal recourse but not genuine financial diversification. A co-applicant from outside the business, with independent salaried or rental income, provides stronger risk mitigation than a co-applicant whose income is correlated with the primary borrower's.

****Q74.****

How do I handle a loan application where the borrower's income comes from multiple sources?

****A74.****

Multiple income sources can be a strength — salary plus rental income, or salary plus professional fees — but each source must be independently verified. Do not sum sources without verification.

For salary: confirm via bank credits and salary slips. For rental: confirm via rent agreement, bank credits, and property ownership proof. For professional/consulting income: confirm via

ITR and bank credits over at least 12 months. Apply a conservatism factor to irregular income sources — use only 50–70% of non-salary income unless it is highly consistent. Primary EMI obligation should be supportable from the most stable income source alone.

****Q75.****

What should I do when the borrower disputes the CIBIL score shown in the system?

****A75.****

Direct the borrower to raise a dispute directly with TransUnion CIBIL — the process is available online and takes 30 days typically. As a loan officer, you cannot alter the CIBIL data used in assessment. Do not proceed with approval based on a disputed score without resolution. If the borrower can demonstrate a genuine error with supporting documentation (such as a No Dues Certificate from a prior lender), escalate to your credit manager for guidance. Approving on an unresolved disputed CIBIL creates liability. Ask the borrower to reapply once the CIBIL record is corrected.

****Q76.****

How do I treat a borrower who has been a victim of identity fraud and has incorrect entries in their CIBIL report?

****A76.****

Identity fraud victims may have loan accounts or defaults on their CIBIL report that are not theirs. If the borrower can provide: an FIR filed with police, a written complaint acknowledged by CIBIL, and documentation showing they were not the actual borrower on the disputed account, treat this as an exception case and escalate to your credit manager. Do not automatically reject based on fraudulent entries the borrower did not create. The resolution process takes time — work with the borrower to get the CIBIL corrected first, then process the application on a clean report.

****Q77.****

The borrower wants to use a plot of land as collateral. How is that assessed?

****A77.****

Land as collateral is treated more conservatively than constructed property because it is less

liquid — selling land to recover dues takes longer and is more uncertain than selling a built property. LTV for land collateral is typically lower (50–60% vs. 75–80% for constructed property).

Verify clear title ownership, no encumbrances, and market value through an approved valuer.

Agricultural land has additional restrictions under various state laws and may not be acceptable

as collateral for non-agricultural loans. The system retrieves the applicable collateral policy for the loan type and asset class.

****Q78.****

What is the minimum documentation I absolutely cannot skip, regardless of the borrower's profile?

****A78.****

Non-negotiable for every application: PAN card (for identity and tax linkage), Aadhaar (for identity verification), proof of address, and income proof appropriate to employment type — salary slips or ITR. These are required by KYC norms under RBI guidelines and cannot be waived

for any borrower, regardless of relationship or profile strength. Bank statements for at least 3–6 months are additionally non-negotiable for income verification. Disbursing without these documents is a KYC violation that creates regulatory and fraud liability for both the bank and the approving officer personally.

****Q79.****

Should I inform the borrower about the risk classification the system gave them?

****A79.****

The internal risk classification is a tool for the bank's credit decision process — it is not typically shared directly with the borrower as a formal output. However, if you are rejecting or conditionally approving, you must explain the basis for your decision clearly in terms the borrower understands: "your current debt obligations relative to income are above our threshold"

is clear and fair, without referencing internal system scores. Borrowers have the right to understand the reason for their outcome — they do not need to know the internal classification

label to receive that explanation.

****Q80.****

How do I handle pressure from a relationship manager or branch manager to approve a borderline case?

****A80.****

Your credit decision must be based on the borrower's profile and policy — not on internal pressure. The system's output and policy citations give you professional cover: if the system flags High Risk and policy does not support approval, that is your documented basis for declining.

If a senior insists on overriding a risk-based rejection, the override must be formally documented

by the senior officer, who then takes accountability for the decision. Do not absorb someone else's approval pressure onto your own record. Use the system's output as your professional backstop — it exists precisely to make credit decisions defensible and consistent.

****Q81.****

What happens to my assessment if the borrower provides false information?

****A81.****

Your assessment is only as reliable as the inputs you verify. If a borrower provides false income

documents or conceals existing liabilities and the loan subsequently defaults, the liability for approval falls on the approving officer if due diligence was not performed. This is why income

verification against bank statements, CIBIL cross-referencing of existing loans, and document

authenticity checks are not optional steps. If fraud is discovered post-disbursement, the bank has legal recourse — but the reputational and regulatory cost is already incurred. Always verify, never assume.

****Q82.****

What is the most common mistake loan officers make in credit assessment?

****A82.****

The most common mistake is evaluating income and CIBIL score in isolation without computing the

full DTI. A borrower can look excellent on income and credit score but be severely over-obligated

once all existing EMIs are factored in. The second most common mistake is using declared income

without verifying it against bank statement credits. Third is approving based on collateral value alone without assessing actual repayment capacity — collateral is a recovery mechanism,

not a substitute for affordability. The system's structured output is designed to force all three factors to be evaluated together before a recommendation is made.

****Q83.****

How often should I rely on my gut feeling vs. the system's recommendation?

****A83.****

The system handles the policy research and quantitative assessment — those elements should be

trusted consistently. Your judgment adds value in areas the system cannot assess: quality of the borrower's documents in person, behavioral signals in the interaction, local market knowledge,

or awareness of the borrower's employer situation. If your gut feeling contradicts the system, identify why — is it a specific, articulable concern? If yes, document it and act on it. If it is vague discomfort without a concrete basis, give more weight to the policy-grounded recommendation. Good credit judgment is informed intuition, not unsupported instinct.

****Q84.****

A repeat borrower who repaid their first loan perfectly is now requesting three times the original amount. Should I treat this differently?

****A84.****

Prior repayment performance is a strong positive signal, but you must still fully re-evaluate the current profile for the new amount. A borrower's circumstances may have changed — new

obligations, reduced income, or changed employment. Run the full assessment on the current

profile: current DTI with the new loan amount, current CIBIL, current income verification.

The prior repayment history is a meaningful compensating factor if the current profile shows borderline metrics — but it cannot override a fundamentally unsupportable loan amount.

Approve

what the current profile supports, not what the relationship history suggests.

****Q85.****

How do I assess a borrower who has significant rental income in addition to salary?

****A85.****

Rental income is relatively stable and verifiable — confirm it through rent agreement, registered

lease deed, and consistent bank credits over the last 12 months. Do not accept cash rental income that is not reflected in bank statements. For tax purposes, verify that rental income is declared in ITR — undeclared rental income is a compliance concern and should not be used

for loan assessment. Once verified, include 75–80% of consistent rental income in the total income calculation (the haircut accounts for vacancy risk and maintenance costs). This can

materially improve the borrower's eligibility for higher loan amounts.

****Q86.****

The borrower is purchasing a property from a developer with a partially constructed project. Should I be extra cautious?

****A86.****

Yes, significantly. Under-construction properties carry additional risk: project delay, developer insolvency, or title disputes can leave the borrower paying EMI on a property they never receive.

RBI guidelines restrict disbursement for under-construction properties to stage-wise release linked to construction progress — not upfront. Verify that the project is RERA-registered, the developer has a clean track record, and the title is clear. Many internal policies have a pre-approved developer list — check whether this developer qualifies. Disburse against verified

construction milestones, not on the borrower's request alone.

****Q87.****

What is the role of a credit committee and when should I escalate to one?

****A87.****

A credit committee is a group of senior credit officers who collectively review cases that exceed

an individual loan officer's sanctioning authority — either in loan amount or risk profile.

Escalate to the credit committee when: the loan amount exceeds your sanctioning limit, the borrower profile has significant exceptions to standard policy, the case involves unusual collateral, or you have genuine doubt about the risk despite a borderline passing profile. Present the full system output, your own assessment, and the specific factors requiring committee

judgment. The committee's decision overrides individual officer authority and is a formal institutional record.

****Q88.****

How do I evaluate a loan application from a borrower who is a director of their own company and draws a salary from it?

****A88.****

Director-salary borrowers are a special category — they have control over their own declared

salary, which makes the income less independently verifiable than an arm's-length employer's

salary. Treat with more scrutiny than standard salaried borrowers. Verify through ITR, company audited financials, and salary credits in personal bank account. Check whether the company is profitable — a director drawing a salary from a loss-making company is a red flag. Assess both personal and business financial health. Many internal policies classify owner-directors as self-employed for income assessment purposes, applying the corresponding more conservative evaluation standard.

****Q89.****

The borrower wants to pre-close an existing loan using the new loan proceeds. Should I factor the existing loan's EMI out of DTI?

****A89.****

Only if the pre-closure is a condition of disbursement — meaning the bank will directly pay off the existing loan from the new loan proceeds at disbursement. In that case, the closed loan's EMI can be removed from the DTI calculation. If the pre-closure is the borrower's stated intention but not a disbursement condition, include the existing EMI in DTI — because until the loan is actually closed, the obligation exists. If you choose to make pre-closure a disbursement condition, document it formally in the sanction letter and verify closure before releasing the remaining funds to the borrower.

****Q90.****

How do I handle a loan application where the borrower's spouse has a bad credit history?

****A90.****

If the spouse is not a co-applicant, their credit history legally does not affect the primary borrower's assessment — the loan is being evaluated on the primary borrower's profile alone.

However, if joint finances are evident (shared liabilities, joint accounts, or the spouse's obligations reducing household net income), factor the household financial picture into your assessment practically. If the spouse is being added as a co-applicant to improve eligibility, their CIBIL must be evaluated — and a poor CIBIL on the co-applicant side cannot be ignored just because the primary borrower's score is strong.